

Dixon Technologies

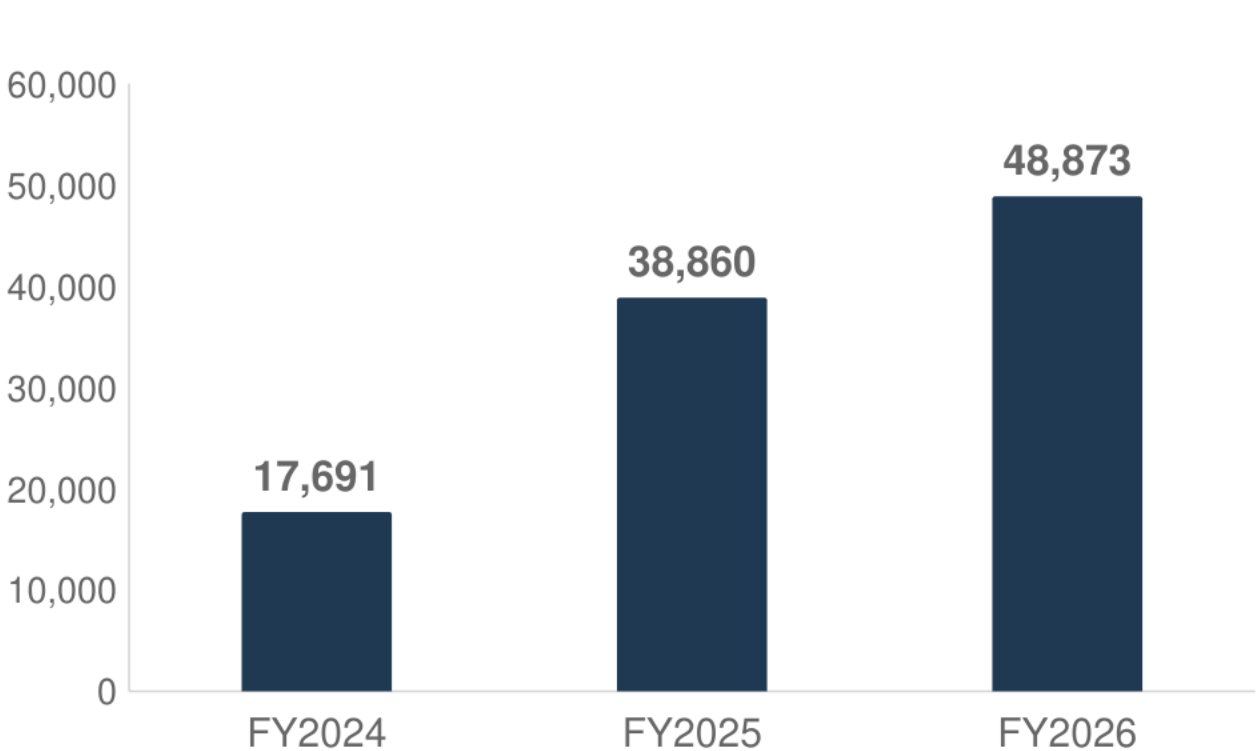
Cash conversion and operations improvement

Independent case study using consolidated FY2024-FY2026 reports

Hisham Siddiqui
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Revenue growth and operating margins

INR crore



Year	Operating margin
FY2024	3.94%
FY2025	3.88%
FY2026	3.82%

FY2026 revenue grew 25.8%.
Derived operating margin narrowed from 3.94% in FY2024 to 3.82%.

Source: consolidated annual reports. Operating EBITDA excludes all other income and exceptional gains.

Operating cash flow and earnings quality

Metric	FY2024	FY2025	FY2026
Operating cash flow	584.31	1,149.75	1,782.29
OCF / group PAT	1.56x	0.93x	1.08x
Cash after cash capex	-0.12	210.40	714.78
Total WC cash-flow effect	-8.81	-181.62	223.33

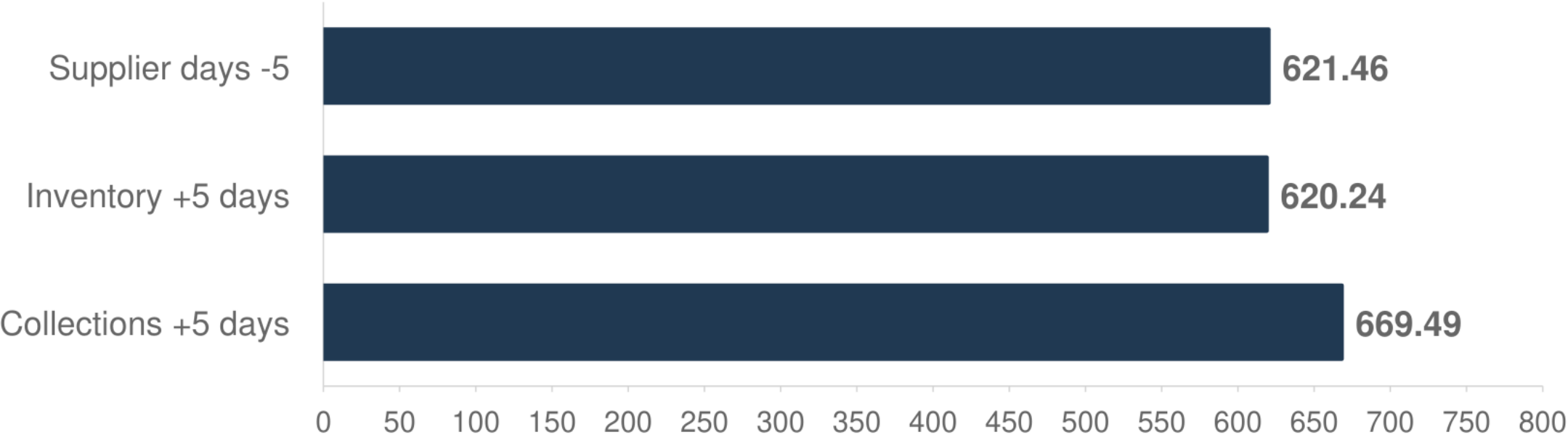
FY2026 OCF increased 55.0%, with an INR 223.33 crore working-capital inflow.

FY2025 exceptional gains and FY2026 investment gains affect reported profit. Operating measures and the cash-flow statement provide necessary context.

Sources: FY2026 report pp408-411, 458. FY2025 report pp322-325. INR crore unless stated otherwise.

Cash sensitivity to five-day operational changes

Additional cash required, INR crore



Each isolated change equals roughly 81-87% of reported closing cash.
This compares scale. It does not establish a funding shortfall.

Illustrative isolated scenarios at FY2026 annual volumes. Even activity and unchanged prices assumed.

Collections pilot economics

Assumption	Default
Annual sales covered	2%
Collection improvement	5 days
Financed share / rate	50% / 10%
Setup / annual cost	INR 25L / INR 12L
Year 1 benefit realisation	50%

Modelled outcome	Default
One-time cash release	INR 13.39cr
Year 1 net benefit	(INR 3.53L)
24-month net benefit	INR 51.42L
Payback	12.77 months
24-month project ROI	104.9%

24-month break-even requires 24.4% of released cash to replace borrowing at the assumed rate. With no financing displacement, savings are zero.

All pilot inputs are analyst assumptions. Cash release is excluded from ROI. Benefits and costs are pre-tax.

Recommendation and evidence needed

Stage	Proposed action	Evidence / decision
Weeks 1-2	Establish invoice and funding baselines	Due dates, payment dates, disputes and avoidable financing costs
Weeks 3-6	Test a limited collections process	Invoice completeness, dispute ownership and matched untreated cohort
Weeks 7-8	Evaluate results over collection cycles	Actual days saved, discounts, bad debts and borrowing displaced
Scale decision	Approve expansion only on measured economics	Verify costs and financing savings against an agreed return hurdle

A conditional pilot is justified only after invoice-level and funding validation.

Proposed implementation. Public statements cannot establish invoice-level causes or realised savings.